The oil price war

The US has touted its status as a big producer of oil and gas, but disruption to Gulf supplies as a result of the war, such as at Iran's Shahran depot, has been felt globally © FT montage/Getty Images

For an Iranian regime facing existential struggle, pushing crude up is key measure of success

Malcolm Moore in London, **Najmeh Bozorgmehr** in Tehran and **Myles McCormick** in Washington

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A viral Iranian propaganda video, shot in the style of a Lego movie, offered a glimpse this week of how Tehran is claiming victory in one of the main fronts in its war with the US: the oil market.

Seven armed speedboats race towards tankers to close down shipping in the Strait of Hormuz. Financiers weep and shake as oil prices surge. Arabs look on in despair as crude sales collapse.

The video sequence and the real-life war, which has closed the strait and set tankers ablaze, reveal how soaring oil prices have become one of Iran's most potent weapons in a conflict that has also involved great human cost.

"Energy markets are the battlefield in which the next phase of the conflict is unfolding," says Geoffrey Pyatt, a former White House energy adviser. "Iran is clearly playing to the markets now, in the calculus that this will put pressure on the Trump administration."

An Iranian propaganda video shows Lego-style figures panicking as oil prices rise and sales plummet. Tehran now has almost complete sway over the Gulf oil market

For an Iranian regime for which survival means victory, pushing oil prices up is a key measure of success against a US president determined to keep them down. The price is also influencing how the war is fought, prompting Donald Trump to declare the US effort "very complete" after oil neared a four-year high of $120 a barrel.

In one of the wildest weeks in oil market history, Iran's ace in the hole has been its de facto blockade of the strait through which one-fifth of the world's oil and liquefied gas normally flows. At its narrowest point, the strait is less than 21 nautical miles wide, putting tankers perilously close to drones and missiles from Iran's southern coastline.

Tehran now has near-total sway over the Gulf oil market, forcing neighbours such as Iraq to almost entirely stop production and trapping roughly 300mn barrels of oil and gas in the region, a number that rises by about 20mn every day.

As of Friday, prices remained about $100 a barrel despite Trump and his western allies announcing the biggest-ever release of emergency oil reserves.

With its new supreme leader, Ayatollah Mojtaba Khamenei, announcing his goal to keep the strait closed indefinitely, Iran has wrongfooted oil traders who had always presumed that US military might would keep the waterway open.

Iran has never blocked the strait before, despite its previous threats. Its decision to do so this month, together with its attacks on neighbouring countries' energy assets, is a mark of how existential a struggle the war has become for the country's regime.

"The Strait of Hormuz has been Iran's most valuable leverage, and it has used this advantage to the surprise of many, even within Iran itself," says Hamid Hosseini of Iran's oil exporters' union, adding that Tehran's own exports were continuing. “If the conflict drags on, the world’s reserves will be depleted.”

In recent days, Tehran has at times appeared to be directly addressing oil traders in Geneva and New York, talking up the potential of oil to soar to as much as $200 a barrel.

The pressure on the Trump administration has mounted ahead of midterm elections in which his Republicans were already struggling with an “affordability” crunch now set to be stoked further by rising pump prices.

The White House, which had taken a triumphalist approach to a war in which it wiped out Iran’s top leadership on the first day, underwent a rapid mood shift on Sunday night as oil prices soared at the market opening.

After a weekend of reports that some of the world’s largest producers were being forced to cut production as the Gulf ran out of storage, oil prices raced higher in one of the biggest jumps on record, as the sheer magnitude of the energy crisis hit home.

“At about 6.05pm on Sunday the administration flipped from complacency to panic,” says a person with knowledge of the White House response. “It was like the scales fell from their eyes and they realised they have a bigger problem than they thought.”

On Sunday night, US officials backed a meeting of G7 finance ministers for the following morning to discuss the emergency release of oil reserves, a move that the White House repeatedly insisted was not on the table the previous week. An FT report of the shift helped cool the market, as did Trump’s remarks about the war nearing its end.

At times, the administration has seemed willing to consider almost any means of bringing down prices, temporarily removing sanctions from 100mn barrels of stranded Russian oil to ease their sale, and promising naval escorts and extra insurance for ships passing through the strait. Members of Congress have floated ideas such as suspending federal taxes on petrol, relaxing environmental rules on fuel or temporarily banning US oil exports.

Pyatt, who worked on energy security for the Biden administration, says most such suggestions would only help at the margins.

In 2022, when oil prices surged on Russia's invasion of Ukraine, the Biden administration was able to manage the situation with "traditional instruments" such as releasing emergency oil, Pyatt adds. The dilemma now is that "this is ultimately a security issue and it is hard to solve a security issue with financial levers".

As expectations fade for a swift conclusion to the fighting, the future price of oil is rising. As of Friday afternoon, a barrel of Brent crude cost roughly $100 for May, nearly $98 for June and $93 for July. Only by January next year does the market think oil will return to about $80 a barrel.

Oil traders have even speculated the US government may try to intervene in the derivatives markets to bring prices down. "The administration manipulating the market is one of the key risks to our view of oil prices rising," says one hedge fund manager drily.

An oil tanker burns following an Iranian strike near Basra this week. Iran's neighbours such as Iraq have had to almost entirely stop production © AP

Such a move would be a "biblical disaster" if investors lost confidence in markets to set the price of such crucial commodities, says Terry Duffy, the chief executive of CME, which runs the world's largest oil futures exchange.

The market was also inflamed by an inaccurate post on X from Chris Wright, the US energy secretary, that claimed a naval escort had successfully accompanied a tanker through the strait. Prices fell sharply, only to rebound when the post was deleted.

"It seems the US administration can wander into the densely populated airwaves of social media and drop cluster bombs," says John Evans at oil broker PVM, adding that this is "the most market-savvy White House there has ever been", and that it would know that automated trading software would instantly react to Wright's post.

Wright has since said the navy was "simply not ready" to provide escorts.

Warships might only be able to provide limited protection to a tanker convoy if targeted by unmanned drones launched in the sea, and the US military could be unwilling to risk exposing its warships so close to enemy territory.

Ultimately, the only way for the US to bring down prices is to find a way to replace some of the losses, says Ernest Moniz, energy secretary during the Obama administration.

"If I am Chris Wright, I have to put out oil, I have to get it into the market," he says. "If you cannot replace 10mn barrels a day on the market pretty quickly, I don't see how you tame the volatility we are seeing."

He argued that the problem of controlling the market was compounded because Israel's war aims diverge from those of its US ally, with Prime Minister Benjamin Netanyahu far less concerned about the price of oil. "What is crystal clear is that the objectives of the United States and of Israel are not fully aligned," Moniz adds.

Israel's stance contrasts starkly with that of the Gulf countries dragged into the conflict. Reeling from the damage to their petroleum-based economies, they have, like Iran, complained of the economic cost of the war as they seek to bring it to an end.

Both Qatar and Saudi Arabia have warned of the catastrophe that deepens with each passing day, as their oil and gasfields and processing plants become further damaged and take longer to return to normal.

Daniel Yergin, vice-chair of S&P Global and author of *The Prize: The Epic Quest for Oil, Money, and Power,* says that, because of their oil wealth, Gulf countries have more influence than they once did but also more to lose. "They are also big players now financially and in the global economy in a way that was not true even a decade ago," he says.

They are also acutely aware that if they are unable to supply the market for a prolonged period, it will open political space for more Russian energy to return to global markets.

A home heating oil delivery truck fills up in Danvers, Massachusetts. Rising prices could threaten Republican hopes in the midterm elections this year © Brian Snyder/Reuters

Gulf countries tried to warn the US of the chaos it would unleash by seeking regime change in Tehran before the fighting began, according to several people familiar with the matter.

"I don't know how the US wasn't expecting it. They were warned. They chose to disregard the warnings and here we are," says Helima Croft, a former CIA official who is now an analyst at RBC Capital Markets. She adds that Gulf countries were "furious that this happened, they are furious with the Iranians and they are furious that the hornets' nest was kicked."

But while there were US efforts to model the fallout, officials believed that the campaign against Iran would be short, perhaps lasting only a week, and that any jump in prices would simply be a "blip", as Wright told the media ahead of the strikes.

The White House has rejected the idea that it had been caught off guard.

"No one was panicked then and no one is panicked now — this is a fake narrative that the media is peddling to sensationalise their stories," says White House spokesperson Taylor Rogers. "The president and his entire energy team have had a game plan to stabilise the energy market since before the operation began."

Republicans have rallied around the White House, insisting it was braced for the fallout. "It is categorically false that they did not plan for Iran closing the Strait of Hormuz," said Montana Senator Tim Sheehy on Friday. "Lawmakers and national security officials have known for years that this was Iran's plan once their backs were against the wall."

But traders have been confused by the president's mixed messaging on how long the conflict will continue, and how much he wants to bring prices down.

"It is more important to me Iran is stopped than the high oil price," the president posted on his Truth Social network on Thursday, noting that the US was the world's largest crude producer. "When oil prices go up, we make a lot of money."

A tanker carrying oil catches fire in Iraq's territorial water after an attack this week. Even if warships escort tankers, they might only be able to provide limited protection © Mohammed Aty/Reuters

The market is acutely aware that a return to normality could be months or even years away. "The industry is in shock. They know how difficult it will be to repair and bring fields back and restore equipment," says Yergin. "Energy supply systems don't turn on a dime. It takes time and investment to bring on new capacity of any kind."

Nor is the decision to end the war just in the hands of the US and Israel. Roxane Farmafamaian at the UK’s Royal United Services Institute, a defence think-tank, predicts that the Iranians will continue to keep the strait closed and raise oil and gas prices for a significant period.

“Iran wants to be sure that eight months or 10 months down the line, once a ceasefire has been established, that the Israelis and the Americans don’t come back. They don’t want a third war. So they’re going to push this to the point where the Americans cannot come back,” she says.

Further escalation is possible. Yemen’s Houthis, one of Iran’s proxy militaries, have yet to enter the conflict and disrupt shipping in the Red Sea, through which Saudi Arabia is trying to redirect some 70 per cent of its exports, or target the kingdom’s pipelines.

Inside Iran, the regime is aware that the release of emergency reserves may cushion the pain for the global economy a few more weeks but suggests that it may even emerge strengthened from the conflict.

[illegible] oil exporters’ union.

“No country will be able to challenge this. Iran has found a point of leverage that the US cannot effectively counter[illegible]

Additional reporting by James Politi and Jamie Smyth

Cartography by Steven Bernard

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Newest

— **Le Triboulet** 4 MINUTES AGO (Edited)

The big ones ... and the absent Koranic god

1. mutual shoot out on oil production
... 20 mbd gone, permanently?
mainly Iranian production gone!

2. anti-ayatollah coalition growing
... attempt of shootout ... southern gulf states entering war, ev add Pakistan

3. center of gravity: IRGC ... in bad shape, immobilized

Khamenei II ... the fate of Imam Hussein: left by his god ... but diehards continue waiting.

Better now than never:
... Freedom for Iran, the
... Middle Ages and
... their torture chambers
... need to be buried.

.

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— **BadAtPickingUsernames** 17 MINUTES AGO

But do I buy the European dip or not? That's what I want to know… Siemens energy is on sale, but will there be a substancial further reduction?

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— **Ecumenical** 27 MINUTES AGO (Edited)

Next up: boots on the ground.

IRGC has Approx 150k active duty personnel alongside another approx 350k army personel.

Iran is a natural geographic fortress surrounded by mountain ranges on 3 sides, and much of it is desert.

The US would likely need to stage hundreds of thousands of troops in Iraq.

It would be a bloodbath and the US army knows this.

But will the Trump admin accept it? Have they got high on their own supply? Will they go ahead believing that the US has the greatest most invincible army of all time? Will we see videos of US prisoners of war being executed on TV? Will we see destroyers and landing ships sinking in the straights of Hormuz?

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+ **D** 12 MINUTES AGO

— **undecided** 46 MINUTES AGO

So now the US has hit Kharg (military), warned Iran to back down (which it won't), so next they'll hit the production facilities, and then Iran really won't have anything left to lose by targeting every other Arab production facility, terminal and even desalination plant, setting production back years. And all because Trump is a coward who doesn't know when to back down.

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+ **valuation** 27 MINUTES AGO (Edited)

— **Arkad** 58 MINUTES AGO

Trump Says U.S. Bombs 'Obliterated' Military Targets on Kharg Island.

I wonder how that's going impact the price of oil.

Recommend Reply Share Report

+ ChemicalChick 35 MINUTES AGO

— **ChemicalChick** 1 HOUR AGO (Edited)

Trump doesn't have a poker face; he showed his hand way too early.

Even the most loyal of his adoring MAGA cult will hopefully begin to sour if gasoline prices stay high until the midterms.

Of the many campaign promises he lied about, this is one they expect him to keep.

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— **Exec Director of Hedge Fund Pyrotechnics** 2 HOURS AGO

Trump multi-dimensional chess at work, yet again. What a genius. The US is so blessed with various natural/demographic/historical/societal advantages that it's possible to muddle through such horrendous leadership, to say nothing of decades of mediocre leadership, stuff that would sink most countries. But damn, Trump and his all-star cabinet are truly dumb as rocks.

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— **Brian01** 2 HOURS AGO

There is no way Iran will be able to keep this up. Time is not on their side. The regime can't withstand a total economic collapse, and they are dependent on China, who will not allow them to keep Hormuz closed to their ships. Iran's Ministry of Intelligence is having backchannel discussions with the CIA.

The longer Iran tries to keep things going, the more likely maximalist options like the U.S. Marine Corps seizing Kharg Island become. The U.S. will systematically destroy Iran's coastal infrastructure and eventually the U.S. Navy will run convoy operations.

Recommend 2 Reply Share Report

+ Naman 2 HOURS AGO

+ PaSt 9 MINUTES AGO

— **Mensch** 2 HOURS AGO

Boots on the ground will happen, so good luck with staying under 200 :D

Recommend 1 Reply Share Report

— **Beg to Differ** 2 HOURS AGO (Edited)

Under what forseeable scenario does the strait re-open? Or security return to gulf energy installations? The US brags of the thousands of “targets“ destroyed, but somehow Iran keeps the drones flying, and it only takes is a few to make the strait too risky to try.

What incentive does Iran have to return to the table, now the US has twice shown its negotiations were just a ruse, and its plan is the Gaza-fication of their country?

Hard to see how the Gulf returns to prewar levels of production and export in any forseeable future.

Recommend 5 Reply Share Report

+ **Viva Vulpus** 2 HOURS AGO

— **S4NA** 2 HOURS AGO

Everyone talk about 20m barrels a day being blocked, but Saudi Arabia has capacity to export 7m barrels thoughts its Red Sea Yanbu terminal and the UAE over 2m barrels through its Fujairah terminal, both of these bypass the Hormuz Stright and exports through them are being ramped up as we speak.

This still of course leaves 10m barrels a day stranded, but not the 20 often mentioned. The IEA recent emergency release and the easing of sanctions of Russian oil will also help to some extent.

The combination of these elements indicate that the US has more maneuvering space to bring this war to an end then being talked about in the media. This is why oil prices still below their average from 2010 to 2014.

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+ **NigelH** 2 HOURS AGO

+ **Thyreophora** 43 MINUTES AGO

⋮

— **a-sceptic** 3 HOURS AGO

The Wright post-and-delete is the whole story and speaks volumes about what this administration is about. Cabinet secretary moves oil prices with a false claim, algos react, post vanishes. "Most market-savvy White House ever" is a fantastic euphemism for corruption if there ever was one.

You can see it now- Trump will declare victory next week once the right people have made enough money. Iran knows this and will extract maximum leverage before letting him have his moment. The Gulf states warned Washington, got ignored and are now furious at everyone- we've (they've) seen this movie before!

Recommend 5 Reply Share Report

— **Cassandra and Iphigeneia** 3 HOURS AGO (Edited)

There seem to have been a large increase in the number of tanker aircraft this evening (c.19:30 UHT) in the area of conflict. No less than 13 tanker planes (twelve K135s and one KC-46A Pegasus) were counted between the Arabian Gulf near Kuwait to Israel on Flightradar 24.

Normally two or three tanker aircraft are visible in the area. The most probable explanation for the increase is that these numbers of tankers have been present for most of the week fuelling fighter and bomber aircraft over the gulf but with their transponders turned off. Perhaps the accident today when a KC 135 crashed with the loss of its crew was the result of large numbers of these tanker planes all with their transponders turned off which resulted in two of them eventually colliding. So perhaps subsequently the transponders have been turned on again with the intention of avoiding more accidents. On the other hand it may be associated with an extra heavy attacked planned against Iran this night for which more tanker aircraft are required.

No doubt some specialist can tell us the number of bombers or fighter jets that can be fuelled by a dozen KC 135 tanker aircraft.

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— **UK: Post wealth nation** 3 HOURS AGO

This is hardly the siege of Malta or the Atlantic convoys. 25 nations have enough tech and war machines to stop a golf ball being shot at a tanker. WTF is going on.

Recommend 1 Reply Share Report

— AJ2020 3 HOURS AGO

Trump has lost control. Thank you MAGA.

Recommend 5 Reply Share Report

— London Lawyer Redux 3 HOURS AGO

Boots on the ground before April

Recommend 5 Reply Share Report

— Apex1 4 HOURS AGO

> John Evans at oil broker PVM, adding that this is "the most market-savvy White House there has ever been", and that it would know that automated trading software would instantly react to Wright's post.

You mean this is the only administration that is willing to manipulate markets by blatantly lying to try and push down prices.

Recommend 16 Reply Share Report

+ batavicus 3 HOURS AGO

— Rollodinho 4 HOURS AGO

Are we ready to be adults and discuss why the FT is burying news on a huge company like Adobe while the banks run massive short positions on it?

Recommend 1 Reply Share Report

+ Cassandra and Iphigeneia 3 HOURS AGO

— Realist101 4 HOURS AGO

Gulf States, oh dear I'm short of dollars I guess I'll stop buying US Government Treasury bonds for the duration. Y'know spread the pain around, hello 40 trillion dollar deficit.

Recommend 6 Reply Share Report

— Androcydes 4 HOURS AGO

Given that Trump chose to initiate this military action when the US Strategic Petroleum Reserve is half empty.
He is either lying that he anticipated the Strait of Hormuz would be closed or he is an even bigger moron than I had thought and it didn't

occur to him to fill it first.

Recommend 20 Reply Share Report

+ BigGuy4×4 37 MINUTES AGO

+ ChemicalChick 19 MINUTES AGO

— **CremeBrullle** 4 HOURS AGO (Edited)

I blame Robert Armstrong. If he hadn't come up with TACO then Iran would have unconditionally surrendered by now instead of using the only leverage they have to hit Trump where it hurts: the Dow and his poll ratings.

Recommend 12 Reply Share Report

— **MrSpectator** 5 HOURS AGO

No one ever mentions the military agency of the Gulf states which are all autocracies (and needn't answer to public opinion within their countries). So far they are sitting on their hands while Iran proves beyond doubt that they are their enemies. Presumably they can carry on doing that until Israel and the USA tire or run out of road. And do the Gulf states just sit back and then cosy up to Iran? They have lost a lot already by sitting it out.

Recommend 2 Reply Share Report

+ dwightoc1 3 HOURS AGO

— **user2019374** 5 HOURS AGO

With how corrupt the governments of Iran, Israel, and the US are these days I wouldn't be surprised in the least if they are all trying to profit from higher oil prices. Trump caved to the shale lobby and threw them a lifeline with this war.

Recommend 1 Reply Share Report

+ FH 3 HOURS AGO

— **Papercage** 5 HOURS AGO

Question is whether Trump will double down and order a ground invasion, or whether he will declare victory and pursue some kind of ceasefire (on much worse terms than he could have several weeks ago). I don't know which it will be.

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— **Big papa pump** 5 HOURS AGO

Just have Jane Street do the ten o'clock slam. Worked for btc. Problem solved.

Recommend 7 Reply Share Report

— **Please settle all grudges** 5 HOURS AGO

Just imagine the scenario in which Arab leaders are overthrown by their populations because they supported the hated state that started this war.

That is a plausible scenario, with food supplies disrupted and economic problems rising. Not to forget the religious dimensions of a possible authoritative fatwa against brother Muslims being attacked.

This war is simply so well-thought through.

Recommend 18 Reply Share Report

+ **DSC** 3 HOURS AGO

+ **D** 1 HOUR AGO

— **Reagan** 5 HOURS AGO

1. I agree that the greatest success of the IRGC is effectively closing the Strait of Hormuz and raising the price of oil.
2. Time is not on the side of the IRGC
(a). They have to keep hoping that the US military solution in Hormuz is simply to use Air Power. Air Power is great but what is needed is a layered defense such as the US Navy used during WWII.
(b) layered defense
The US Navy used combat air patrol AND anti aircraft guns on ships. The system wasn't 100% effective. No system ever is......but it was pretty good. The task today is much simpler than the US Navy's problem of defeating an attack by 500 kamikazes going 300-400 mph. It is a smaller number of Shahed drones going 120 mph. Yesterday the IRGC launched a total of less than 40 Shaheds at Saudi Arabia and UAE combined.
(c). An example of the gun part of layered defense in WWII was the armament of the Essex carriers which carried 72 Bofors 40 mm gun mounts.

(d). What the US Navy needs to do is buy a 100,000 ton container ship and armor it near the engines/fuel and mount 72 Bofors 40 mm guns with their 2 mile range. No Shahed drone coming within 2 miles of that gunship would survive. It worked in WWII and it will work today.
(d). The other bad news for the IRGC is that the Ukrainians are coming. The IRGC has sent tens of thousands of Shaheds to Russia so they can pound Ukrainian cities and kill Ukrainian civilians. Well time for a little payback. The Ukrainians (as opposed to the US military) have developed interceptor drones to shoot down Shaheds. Their PS1 drone has shot down 2,500 Shaheds.......and I think they can shoot down 40 Shaheds a day.

Free Iran

Recommend 6 Reply Share Report

+ **_supert** **4 HOURS AGO**

+ **_ds** **37 MINUTES AGO**

— **SAABist** **5 HOURS AGO**

The really really hard question is will this POTUS take responsibility and occupy the Straits, to back up his so-far reckless war.
The Iran high command is right to take such action but it too may be seen as reckless and inviting a desperate act by a volatile US president, and then there is the matter of who will blink first.
So far the US has not used strategic assets as the B52 which would have a devastating effect on Tehran or the Iranian Straits defences,

Recommend 4 Reply Share Report

+ **Reagan** **5 HOURS AGO**